

THE WHOLESALE PO REPORT · 2026 EDITION

Where CPG brands lose margin.

What the published record says about the distributors, deductions, deadlines and finance teams behind every wholesale order, and a working framework for brands in their first years of national distribution.

PREPARED BY

EasyOps

EVIDENCE BASE

26 cited sources

WRITTEN FOR

Founders, operators, controllers, sales leads

INSIDE

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20%

of CPG revenue is spent on trade promotions, and 72% of U.S. promotions lose money¹¹

44 days

is how long a typical deduction stays unresolved¹⁷

60%

of brands get back less than half of what they dispute¹³

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FIVE TERMS YOU WILL SEE

Deduction. Money a customer subtracts from your invoice before paying. Also called a chargeback or a short pay.

Trade promotion. Any deal or discount you give a retailer or distributor to help sell your product.

Gross to net. The difference between the amount on the order and the amount that actually arrives.

OTIF (on time, in full). A retailer scorecard that measures whether your orders arrive when promised and complete.

Days deduction outstanding (DDO). How many days a deduction stays open before it is settled.

HOW TO READ THE NUMBERS

Every number has a small source number next to it. The full list is on pages 15 and 16. When the source is a company that sells software into this market, we say so, and you should treat that number as a rough guide rather than a hard fact.

Most of these studies looked at companies much bigger than a young brand. When we apply a big company rate to a \$5 million brand, we show the math and call it an illustration.

No EasyOps customer data appears anywhere in this report.

00

The money is lost after the order, not before it.

A purchase order looks like money in the bank. It is not. It is a promise to pay. The amount that arrives is almost always smaller than the amount on the order.

Here is what the published numbers say. CPG companies spend about **20 percent of their revenue** on trade promotions, meaning the deals and discounts they give retailers. In the United States, 72 percent of those promotions lose money¹¹. Mid-sized brands lose 3 to 7 percent of their sales to deductions, and each year they write off 1.2 to 2.4 percent of sales because the money never comes back¹². When brands dispute a deduction, 60 percent of them get back less than half of what they asked for¹³. A typical deduction stays unresolved for 44 days¹⁷.

Large manufacturers know all of this. They have teams whose only job is to handle deductions. A small brand does not. The brand that just signed with its first national distributor ships 50 to 200 orders a month and runs operations with one or two people. **It faces the same rules, the same fees and the same deadlines, with a fraction of the staff.**

This report collects what public sources say about that gap. It uses distributor financial filings, trade association surveys, benchmark studies and surveys of finance leaders, all published between 2018 and September 2026. Every number has a source. Where the publisher sells software, we say so.

The short version

- **Fewer companies control the door** to national retail, and smaller brands are winning shelf space through it^{2,4,7}.
- **Missing a delivery window has a price.** At Walmart it is 3 percent of the cost of the goods. A post audit gives you 15 days to respond^{14,15}.
- **Time is the cost.** Deductions stay open for weeks. Small ones are written off without a fight. Customers are taking longer to pay^{17,18,19}.
- **Finance leaders are adopting AI quickly**, and they trust it only when it can show its work^{20,21}.
- **The brands that keep their margin** treat each order as a job to run, not a document to file.

EASYOPS' TAKE

The purchase order is a static document. The work happens everywhere else.

It is far easier to lose the money than to stop it from leaking in the first place. Every number in this report says the same thing.

A senior operator once told me: I know which fires will burn the house down, and I let the others burn. That is the job at a small brand. This report is meant to help you tell the two apart.

Jordan Harper

Founder & CEO, EasyOps

01

The channel has already moved.

Two distributors are the door to national retail for natural, organic and specialty brands. More brands are coming through that door every year.

3.7%

growth in U.S. retail sales in 2025 compared with 2024

U.S. Census Bureau ¹

\$31.2B

UNFI's sales in fiscal 2026, down 2 percent from the year before

UNFI 8-K ²

\$76.6B

U.S. organic sales in 2025, up 6.8 percent

Organic Trade Association

A distributor buys products from brands and delivers them to stores. For natural and specialty food, two distributors matter most. UNFI delivers to about 30,000 store locations and buys from about 11,000 suppliers³. Its sales were \$31.2 billion in fiscal 2026². KeHE runs 19 warehouses, delivers to more than 30,000 stores and carries about 8,500 brands⁴.

Those numbers matter for a new brand. When **11,000 suppliers sell to one buyer**, that buyer writes the rules once and applies them to everyone. The delivery instructions, the fill rate target, the fee list and the deadline to dispute a charge are not negotiated brand by brand. They come with the deal. UNFI's supplier terms say it directly: invoices are paid net of any deductions, chargebacks and fees owed under its supplier policies¹⁶. In plain terms, the distributor subtracts what it thinks you owe before it pays you.

KeHE itself admits the fee list is complicated. It offers new suppliers under \$500,000 in their first year a flat 2 percent program that replaces several separate fees, such as new item fees and manufacturer chargeback fees⁵. A program like that exists because the standard fee structure is hard for a new brand to follow.

HOW BIG THE DOOR IS

UNFI store locations approx.		30,000
KeHE stores served more than		30,000
UNFI suppliers approx.		11,000
KeHE brands carried approx.		8,500

Sources ^{3,4}. Bars scaled to 30,000.

11,000 suppliers. One rulebook.

The distributor's delivery rules, fee list and dispute deadlines are written once and applied to every supplier at the warehouse door^{3,16}. For a brand in its first year, **the rules are the one part of the deal you cannot negotiate.**

YOU HAVE READ THE PREVIEW

The other thirteen pages are free. They just need an email.

Unlock the full **Wholesale PO Report 2026**.

Thirteen more pages of sourced numbers and practical steps, including:

- The gross-to-net gap: what brands spend on promotions, what they lose to deductions, and the math for a \$5 million brand
- The clock and the rulebook: what retailers charge, how many days you get to respond, and how long a deduction stays open
- Who owns the order: four people, one problem, and what 1,013 finance leaders want before they trust AI with the check
- Six steps for running orders with a one or two person team, plus the question each person should ask this quarter
- All 26 sources, with links

Enter your work email at tryeasyops.com and the full PDF arrives in your inbox. No sales call comes with it. We do not ask you for any data.